

has to *close* above the line. A close helps prevent premature breakouts, where price pokes its head above the confirmation line but drops back down soon after (perhaps the next day).

In this case, the stock climbs back to the launch price. The launch price is D (where the downtrend to the pattern begins) and price recovers to E. A return to the launch price is not always the case, so don't depend on it happening, but the launch price can make for a good target.

This triple bottom looks like the bottom of a Big W chart pattern. The left side of the W is at D, the right side is at E, with a reversal pattern between the tall sides. The drop from D to A is a long one, which is required by the Big W. Usually we see double bottoms as the reversal pattern, but in this case, the triple bottom appears.

Let's look at identification guidelines so we can help separate triple bottoms from other types of chart patterns.

Identification Guidelines

[Table 67.1](#) lists guidelines for identifying triple bottoms, and [Figure 67.2](#) shows an example.

Appearance. I think most technical analysts will tell you that not just any three bottoms will do for a triple bottom. The three bottoms are usually large and well separated with generally rounded rises in between (but allow exceptions like that shown in [Figure 67.1](#)). The lowest price in each bottom is at about the same level. If the center price is lower than the other two, then you might be looking at a head-and-shoulders bottom. When the bottoms are successively lower in price, it might be one of the broadening series of patterns. If price at each bottom rises successively, then it could be a three rising valleys chart pattern.

In the figure, notice the three bottoms. Each bottom is distinct and separated with the rally between them quite pronounced. Price rises far enough to close above the top of the pattern, confirming it as a valid triple bottom.

Price trend. If price rises into the start of a triple bottom, is it still a bottom? Answer: I'm not sure. Perhaps in the next edition I'll separate triple bottoms into reversals and continuations, where price either drops into the